

JUSTIFICATION REVIEW DOCUMENT
FAR Part 12 Justification and Approval
Simplified Procedures for Certain Commercial Items

Program/Equipment: Lodging and Meal Services for the Korea Readiness Orientation Course (K-ROC), Eighth Army G-3 Engineer, at Yongsan Garrison, Seoul.

Authority: Title 41 United States Code (U.S.C.) §1901(e)(2) as implemented in Federal Acquisition Regulation (FAR) 12.102 Restricting competition & SAP FAR 13.501(A)(2) under the authority of the simplified procedures for certain commercial items.

Amount: \$6.5 million.

Prepared by: CPT YE SUK KIM
G3 EN Plans Officer
[REDACTED]
[REDACTED] Date: 14 APR 26

Contracting Officer: MICHAEL West
Contracting Officer
michael.l.west8.civ@army.mil
[REDACTED] Date: 27 APR 26

Technical / Requirements: CPT YE SUK KIM
G3 EN Plans Officer
[REDACTED] Date: 14 APR 26

Reviews: I have reviewed this justification and find it adequate to support other than full and open competition.

Legal Counsel:

SCOTT A. LILLIE
Attorney Advisor (Civilian)
[REDACTED]
[REDACTED] Date reviewed: 27 APR 26

**FAR Part 12 Justification and Approval
Simplified Procedures for Certain Commercial Items**

1. Requiring Activity: Eighth Army, G3 Engineer

2. Contracting Activity: 411th Contracting Support Brigade (CSB)

3. Description of Action: Request for approval to establish a five-year new sole-source, Firm-Fixed-Price (FFP) Blanket Purchase Agreement (BPA) with the Dragon Hill Lodge, CAGE: 4WXA5, UNIT 15335, APO AP 96205-9001, USA. The estimated total value is \$6.458 million. The BPA will be funded using appropriate Fiscal Year (FY) Operations and Maintenance, Army (OMA) funds.

4. Description of Supplies/Services: This requirement is necessary to support the United States Forces Korea (USFK) mandated Korea Readiness Orientation Course (K-ROC). The program requires a lodging and meal solution located within a secure, fenced military installation with controlled access points in Seoul. This type of facility is essential to ensure the force protection, accountability, and timely movement of large groups of newly-arrived personnel. Providing an all-inclusive package at a single, secure location is critical to meet the program's demanding operational tempo and eliminate the significant logistical and administrative burdens that would otherwise fall on individual Service Members. This approach is fundamental to the successful and secure execution of the K-ROC mission.

<i>Period</i>	<i>Period of Performance (POP)</i>	<i>Estimated Value</i>
Year 1	06 MAY 2026 through 05 MAY 2027	\$0.680M
Year 2	06 MAY 2027 through 05 MAY 2028	\$1.420M
Year 3	06 MAY 2028 through 05 MAY 2029	\$1.462M
Year 4	06 MAY 2029 through 05 MAY 2030	\$1.480M
Year 5	06 MAY 2030 through 05 MAY 2031	\$1.415M
<i>Estimated Overall Total Price</i>		<i>\$6.458M</i>

5. Authority Cited: Title 41 U.S.C. §1901(e)(2) as implemented in FAR 12.102 Restricting competition & SAP FAR 13.501(a)(2) sole source Dragon Hill Lodge under the authority of the simplified procedures for certain commercial items.

6. Reason for Authority Cited:

a. Background: The authority at Title 41 U.S.C. §1901(e)(2), as implemented in FAR 12.102 Restricting competition & SAP FAR 13.501(a)(2), is required for this acquisition because the Dragon Hill Lodge (DHL) is the only source capable of providing the required lodging and meal services at the designated location. DHL is uniquely located on U.S. Army Garrison Yongsan, offering secure, on-post accommodations that fully comply with the operational, security, and logistical requirements for this program.

b. Market research has determined that no other commercial lodging provider can offer the necessary combination of a secure, access-controlled perimeter and close proximity to key mission activities, such as the War Memorial of Korea. Off-post providers are unable to meet these essential security and logistical needs. Awarding this requirement to any other source would result in unacceptable operational delays and potential security vulnerabilities. Therefore, the use of sole-source procedures is justified to ensure uninterrupted support for the K-ROC mission.

c. Alternatives:

- 1) Use of Off-Post Commercial Hotels: This was deemed unacceptable. It would introduce significant security risks by dispersing personnel and would make timely group transportation logistically unfeasible due to traffic and installation gate procedures.
- 2) Use of In-House Resources (Barracks): Existing barracks have been uninhabitable and unmaintained. They are uninhabitable and require significant renovation. There are also no dining facilities located on USAG-Yongsan other than Dragon Hill Lodge.
- 3) Conducting a Competitive Acquisition: This is not viable, as market research conclusively shows only one source can meet the mandatory on-installation performance location.

d. Impact if not approved: Disapproval would force the program to rely on ad-hoc, inefficient methods, place an undue administrative and financial burden on individual Service Members via the DTS system, and introduce significant logistical and security risks that would jeopardize the program's mission and schedule.

7. Efforts to Obtain Competition: Efforts to obtain competition for this requirement were limited due to the unique and restrictive need for secure, on-installation lodging and meal services at Yongsan Garrison. Market research confirmed that Dragon Hill Lodge (DHL) is the only source capable of meeting the Government's minimum needs. No other commercial lodging provider in the area can offer the required combination of secure, access-controlled accommodation and proximity to mission activities.

Given the unique location and mission requirements, no action can be taken to increase competition for this specific acquisition. Should circumstances change in the future, the Government will reevaluate the market to identify any new potential sources.

8. Actions to Increase Competition: The primary barrier to competition is the unalterable geographical requirement for performance on Yongsan Garrison. This barrier cannot be overcome unless another commercial entity is permitted to operate a hotel on the installation, which is not feasible. No actions can be taken to increase competition for this specific requirement in the future. However, the Government will continue to monitor the local market to see if other secure on-post facilities are built.

9. Market Research: In accordance with FAR Part 10, market research consisted of a comprehensive review of the local commercial market to determine the availability of services that could meet the Government's mandatory minimum requirements. We checked websites such as Agoda, Expedia, etc. This included a geographical, logistical, and security-based screening of commercial lodging facilities in the greater Seoul area in proximity to Yongsan Garrison. The market intelligence confirmed that DHL is the only facility physically located within the secure, access-controlled perimeter of the military installation. Because strict adherence to Force Protection protocols, physical security, and personnel accountability are unalterable minimum requirements for the K-ROC mission, no off-post commercial hotel can safely or logistically satisfy the agency's needs. Therefore, this physical security constraint is the single most critical and restrictive factor, definitively concluding that DHL is the only responsible source capable of fulfilling this requirement.

10. Interested Sources: This requirement was not publicized due to the sole source determination. As a result, no other sources have expressed interest or submitted capability statements for this acquisition.

11. Other Facts: This is a new requirement; therefore, there is no procurement history. A key fact supporting this justification is that the Dragon Hill Lodge is a Non-Appropriated Fund Instrumentality (NAFI) of the U.S. Army, created to support U.S. personnel in Korea. Its inherent experience with military group reservations and on-post operations further mitigates performance risk and makes it uniquely qualified.

12. Technical/Requirements Certification: I certify that the supporting data under my cognizance, which are included in the justification, are accurate and complete to the best of my knowledge and belief.

KIM.YE

CPT YE SUK KIM
G3 EN Plans Officer

13. Fair and Reasonable Cost Determination: I hereby determine that the anticipated price/cost to the Government for this contract action is fair and reasonable.

This determination is based on a comprehensive price analysis of Dragon Hill Lodge's (DHL) proposal, which includes significant discounts for food services, particularly breakfast and lunch. The current commercial rate for breakfast at DHL is \$23.59 per person for a buffet-style meal, which does not include coffee. For this requirement, DHL has agreed to a discounted rate of \$10.00 per person for soldiers, with coffee and water

included at no additional charge. This represents a discount of more than 57% off the standard rate and provides additional value by including beverages that are not part of the regular offering.

Additionally, the lunch box is customized to meet the Government's requirements and is priced at \$10.00 per person, which is within the Government's budget plan. The combined meal pricing reflects substantial savings and demonstrates DHL's commitment to providing cost-effective solutions for this requirement. The following table summarizes the proposed unit prices for lodging and meal services over the five-year period:

Year	Description	Unit Price (USD)
Year 1	1 Room Night/Double Occupancy, Breakfast Buffet per person, 1 Box Lunch	\$100.00
	1 Room Night/Single Occupancy, Breakfast Buffet per person, 1 Box Lunch	\$180.00
Year 2	1 Room Night/Double Occupancy, Breakfast Buffet per person, 1 Box Lunch	\$105.00
	1 Room Night/Single Occupancy, Breakfast Buffet per person, 1 Box Lunch	\$189.00
Year 3	1 Room Night/Double Occupancy, Breakfast Buffet per person, 1 Box Lunch	\$110.00
	1 Room Night/Single Occupancy, Breakfast Buffet per person, 1 Box Lunch	\$198.00
Year 4	1 Room Night/Double Occupancy, Breakfast Buffet per person, 1 Box Lunch	\$116.00
	1 Room Night/Single Occupancy, Breakfast Buffet per person, 1 Box Lunch	\$208.00
Year 5	1 Room Night/Double Occupancy, Breakfast Buffet per person, 1 Box Lunch	\$122.00

	1 Room Night/Single Occupancy, Breakfast Buffet per person, 1 Box Lunch	\$218.00
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Market research was conducted to compare prices for similar buffet-style breakfast services at other local providers. No other source was able to offer comparable pricing, secure on-post access, or the required volume of services. DHL has provided highly advantageous bundled rates that include both lodging and two daily meals. Across the five-year performance period (Years 1 through 5), the comprehensive daily rates range from \$100.00 to \$122.00 for double occupancy and \$180.00 to \$218.00 for single occupancy. These rates fall significantly below standard commercial market pricing for the Seoul metropolitan area and are substantially lower than the allowable Joint Travel Regulations (JTR) per diem limits.

For comparison, the current maximum JTR per diem rate for Seoul is \$370.00 per day (\$245.00 for lodging and \$125.00 for Meals and Incidental Expenses). By securing a single-occupancy room inclusive of two meals for a maximum of \$218.00 per day, the Government realizes a daily cost avoidance of over 40% per soldier compared to the JTR ceiling. The cost savings are even greater when utilizing the double occupancy rates.

As an added value to the Government, these negotiated prices are firmly fixed and not be subject to dynamic surge pricing during high-demand periods. This includes weekends, major regional holidays (such as Lunar New Year or Chuseok), large-scale international conventions (such as defense expos or trade summits), and major entertainment or sporting events (such as international stadium concerts) that typically cause severe commercial hotel rate spikes in the Seoul area. This guarantees the Government predictable and stable costs throughout the life of the contract, further cementing the Contracting Officer's determination that the overall estimated cost is fair and reasonable.

Based on the significant discount, added value, compliance with per diem lodging rates, and comparison to market and JTR per diem rate, I conclude that the proposed pricing is fair and reasonable.

TAYLOR.NATEETA.DIA

NATEETA D. TAYLOR
Contracting Officer

14. Contracting Officer Certification: I certify that this justification is accurate and complete to the best of my knowledge and belief.

TAYLOR.NATEETA.DIA [REDACTED]

[REDACTED]
NATEETA D. TAYLOR
Contracting Officer

Approval

Based on the foregoing justification, I hereby approve the procurement of lodging and meal services for K-ROC on an other than full and open competition basis pursuant to the authority of Title 41 U.S.C. §1901(e)(2) as implemented in FAR 12.102 Restricting competition & SAP FAR 13.501(a)(2), sole source to DHL under the authority of the simplified procedures for certain commercial items. The estimated value of the new BPA is \$6.5 million for a five-year period of performance from 6 May 2026 to 5 May 2031. The approval is subject to availability of funds, and provided that the supplies and/or services herein described have otherwise been authorized for this acquisition.

PARK.SUNG.JOON [REDACTED]

SUNG J. PARK
Special Competition Advocate